FY27 OPERATING PLAN
APPROVED DEFINITIONS AND CONTROL FRAMEWORK

Alder Ridge Mechanical | Effective for the 2026-06-30 close and FY27 planning cycle

Authority and version control

Use executed agreements and signed policies for definitions, controller-reviewed workpapers for current management assumptions, raw exports for their stated cutoff, and Vista ERP for posted Alder Ridge populations. Earlier workbooks and banker cases are retained for audit history only.

Required control principles

Keep posted, pro-forma, forecast, external-market, and transaction-target measures separately labeled. Preserve units and periods. Reconcile bridges and roll-forwards without plugs. Management preference does not override approval status, contractual definitions, or stated risk limits.

FY27 branch revenue driver forecast

Apply price only to non-pass-through revenue; pass-through equipment receives volume but no price escalation.

Construction backlog conversion is incremental to the run-rate bridge; Service expansion ARR is not renewal revenue.

The three branch allocations must sum to the independently queried posted LTM revenue population before forecasting.

FY27 EBITDA scenario model

Model each branch with its scenario-specific revenue growth and gross margin; do not apply a consolidated blanket driver.

EBITDA equals consolidated gross profit less posted fixed opex grown by scenario and scenario variable opex.

Free cash flow equals EBITDA less cash tax, capex, and the modeled working-capital investment; do not add depreciation to EBITDA.

Twelve-month operating-expense reforecast

Use the monthly plan population plus only approved monthly events; do not annualize a partial-year hire or saving.

Exclude depreciation and interest from both plan and reforecast controllable opex.

Rank unfavorable functions by full twelve-month dollar variance after applying effective-month timing.

Service revenue price-volume-mix variance

Use the Q2 service product-detail population in the current controller-reviewed v6 planning workbook; the prior v4 branch draft is comparison-only.

Use the budget portfolio-average unit price for the total-volume effect.

Calculate mix using actual units at each product's budget price versus those same units at the budget portfolio-average price.

Calculate price on actual units and show executed SLA credits after the gross PVM bridge.

Construction gross-margin driver bridge

Bridge in this order: volume at the portfolio budget margin, contract price at worktype budget margin, labor rate, labor productivity, material price, subcontractor, then mix.

Use actual post-price revenue for rate and cost effects; isolate productivity from wage-rate variance.

The worktype bridge must reconcile to the computed actual gross profit and actual revenue without a plug.

FY27 field workforce plan

Compute productive capacity by trade and month; apprentices and journey workers are not interchangeable.

New hires contribute only 65% of standard productive capacity during their average six-month training/ramp exposure.

Apply wage escalation and benefits/burden to paid hours; compare the formula-driven total with the approved cost plan.

Forecast accuracy and bias backtest

Forecast error is forecast minus actual; positive values are over-forecasting.

Exclude February 2026 from MAPE only, but retain it in the all-month WAPE numerator and denominator.

Compute business-unit bias as the signed dollar sum over all twelve months, then rank by absolute bias.

Branch contribution and economic-profit ranking

Allocate the invoice-driven pool by customer-invoice count and the people/systems pool by active employees; do not allocate either pool by revenue.

Economic profit equals allocated operating profit less the capital charge on average invested capital.

Rank contribution margin before corporate allocation; identify every negative economic-profit branch after allocation and capital charge.

Service-contract cohort renewal forecast

Do not probability-weight cohorts already covered by signed multiyear terms.

For annual-renewal cohorts, apply renewal first, then partial downsell, then contractual price escalation.

Signed expansion ARR is incremental after renewal and price. Recognize retained and repriced opening-cohort ARR for the full fiscal year, and prorate each signed expansion from its stated revenue start month through June 2027.

Reconcile opening ARR to the active service-agreement population.

backlog burn and capacity model

Weight signed backlog by the approved execution probability; do not include unsigned pipeline.

Apply each project's own start month and burn curve, then convert revenue to required hours using project-specific productivity.

Available capacity equals productive internal hours plus permitted overtime plus subcontractable hours; report the first positive gap.

Cash-conversion and working-capital forecast

Calculate ordinary AR from branch DSO, then add retainage separately; customer deposits reduce net operating working capital.

Apply inventory and payable days to cost of revenue, not revenue.

Operating cash conversion equals EBITDA less cash tax and incremental operating working-capital investment, divided by EBITDA.

integrated FY27 operating plan

Reconcile the FY26 company revenue baseline to the Vista ERP before applying branch-specific drivers.

Build revenue, gross profit, fixed and variable opex by branch; corporate opex is consolidated only once.

Free cash flow deducts cash taxes, both capex categories, and working capital on incremental revenue.

The downside case applies the approved revenue decrement, margin compression, and opex mitigation without changing fixed capex.

Phase the annual plan quarterly, roll working capital from the signed opening balance, and calculate interest on beginning funded debt before each funding decision.

Deduct the mandatory scheduled term-debt amortization from cash and principal each quarter before the revolver funding decision. Then use any cash above the operating floor to repay the revolver, or draw only enough to restore the floor, and identify the first draw quarter.

The detailed quarterly cash roll-forward controls FY27 ending cash. Show the annual pre-financing ending-cash estimate separately and reconcile it to quarterly ending cash, including signed NWC-balance, interest, scheduled-principal, and financing effects.

Show the quarterly cash/debt schedule and year-end covenant leverage in addition to the annual base and downside statements.

Rolling forecast variance and corrective actions

Combine YTD actuals with the current H2 forecast; plan comparisons combine YTD plan with H2 plan.

Apply each business unit's current gross margin to its full-year latest forecast and keep forecast opex separate.

Corrective actions enter the outlook only at probability-weighted benefit; do not count full run-rate savings.

Report the post-action EBITDA gap as a positive remaining shortfall magnitude, or zero if the actions fully recover plan.

Rank the business-unit EBITDA misses before corporate corrective actions.

Phase each approved action between Q3 and Q4 and probability-weight benefits. For the action gate, use probability-weighted gross EBITDA benefit divided by implementation cash cost; this is a gross-benefit/cash multiple, not a net ROI calculation.

Measure recovery against the pre-action EBITDA shortfall and report the quarterly benefit, net cash benefit, recovery percentage, and only actions that clear the signed ROI gate.

Backlog, pipeline, and capacity conversion

Risk-adjust signed backlog only for documented cancellation probability, then apply separate H2 and FY27 burn percentages.

Pipeline remains separate from signed backlog and is probability weighted before its FY27 conversion percentage.

Cap the combined FY27 delivery at approved internal capacity before calculating plan coverage; signed backlog consumes capacity before weighted pipeline.

Gross profit uses contract-specific margins for signed delivery and the weighted pipeline margin only on pipeline capacity that remains.

Build a second-stage FY27 delivery portfolio from the controlled candidate schedule. Signed mandatory work must be selected before optional awards.

Maximize risk-adjusted gross profit while enforcing labor hours, bonded revenue, and project-count limits; report the selected portfolio, utilization, headroom, coverage, and best excluded project.

Customer profitability and economic profit

Calculate customer contribution before shared cost allocations and retain warranty/callback cost as directly attributable.

Allocate each shared pool only on its approved driver: revenue, warranty/callback dollars, or DSO.

Economic profit deducts the capital charge from allocated operating profit using average invested capital.

Do not allocate corporate costs on a blanket revenue percentage.

Extend current customer economic profit through the renewal decision. Price value equals current LTM revenue times proposed price increase times (1 - volume elasticity). Expected credit loss equals current LTM revenue times the loss percentage and is probability-weighted once.

For each customer, expected invested capital equals LTM average invested capital less (1 - renewal probability) times capital released on exit. Risk-adjusted renewal economic profit equals renewal probability times (allocated operating profit + price value - retention investment - expected credit loss before probability weighting), less the capital charge on expected invested capital.

Report the probability-weighted renewal portfolio, customers below the signed economic-margin floor, the exit candidate, and capital released; keep these forward decisions separate from LTM allocations.

Scenario-weighted earnings and liquidity at risk

Probabilities must sum to 100%; calculate each scenario independently before weighting outputs.

Revenue and gross-margin changes compound; one-time mitigation costs are cash-only below-EBITDA items in the applicable scenario: deduct them from cash flow, not EBITDA.

Convert DSO-day changes to cash using scenario revenue and calculate revolver draws only after pre-financing cash.

EBITDA at risk is the Base-to-Severe decline, not the probability-weighted variance.

Choose a feasible mitigation portfolio separately for Soft landing and Severe. Apply scenario benefit factors, cash costs, the action-count limit, and the Severe mandatory action before recomputing EBITDA and liquidity.

Probability-weight post-mitigation EBITDA only after scenario-level selection; report the Severe selected actions, post-mitigation draw, leverage, and any unfunded revolver shortfall.

FY27 budget-reallocation optimizer

Select the highest three-year risk-adjusted NPV feasible portfolio, not the highest unadjusted EBITDA list.

Include every required initiative and enforce named dependencies before testing the budget and initiative-count caps.

The minimum benefit test uses annual EBITDA benefit multiplied by realization probability.

Report selected initiatives in the source schedule order and retain any unallocated budget as headroom.

Optimize the portfolio across both FY27 and FY28 cash budgets, scarce technician hours, the required resilience initiative, named dependencies, mutual exclusions, initiative count, and branch concentration.

The hardened constraints control the selected portfolio. Report both annual budgets, technician headroom, and resilience count. For the binding-constraint headline, report only numeric policy caps or floors reached exactly: maximum initiative count, either annual cash budget, technician-hour capacity, or minimum resilience count. Dependencies, mutual exclusions, and benefit-domain rules remain feasibility controls rather than binding-headline labels.

System reconciliation schedule

Analysis	Accounting-system reconciliation
FY27 branch revenue driver forecast	Vista ERP P&L, 2025-07-01 through 2026-06-30; Revenue total
FY27 EBITDA scenario model	Vista ERP P&L, 2025-07-01 through 2026-06-30; Operating Expense total; Vista ERP P&L, 2025-07-01 through 2026-06-30; Revenue total
Twelve-month operating-expense reforecast	Vista ERP P&L, 2025-07-01 through 2026-06-30; Operating Expense total
Service revenue price-volume-mix variance	Vista ERP P&L, 2026-01-01 through 2026-06-30; Revenue total
Construction gross-margin driver bridge	No Alder Ridge ledger tie required
FY27 field workforce plan	Vista ERP employee master at 2026-06-30; active employees
Forecast accuracy and bias backtest	Vista ERP P&L, 2025-07-01 through 2026-06-30; Revenue total
Branch contribution and economic-profit ranking	Vista ERP P&L, 2025-07-01 through 2026-06-30; Revenue total
Service-contract cohort renewal forecast	Vista ERP service agreements active at 2026-06-30; annual value
backlog burn and capacity model	No Alder Ridge ledger tie required
Cash-conversion and working-capital forecast	Vista ERP P&L, 2025-07-01 through 2026-06-30; Revenue total; Vista ERP AP aging as of 2026-06-30; open balances before forecast assumptions; Vista ERP AR aging as of 2026-06-30; open balances before forecast assumptions
integrated FY27 operating plan	Vista ERP cash detail as of 2026-06-30; unrestricted company cash accounts; Vista ERP P&L, 2025-07-01 through 2026-06-30; Revenue total
Rolling forecast variance and corrective actions	No Alder Ridge ledger tie required
Backlog, pipeline, and capacity conversion	No Alder Ridge ledger tie required
Customer profitability and economic profit	No Alder Ridge ledger tie required
Scenario-weighted earnings and liquidity at risk	Vista ERP cash detail as of 2026-06-30; unrestricted company cash accounts
FY27 budget-reallocation optimizer	No Alder Ridge ledger tie required